34-3a The Case for Active Stabilization Policy

Let's return to the question that began this chapter: When the president and Congress raise taxes, how should the Federal Reserve respond? As we have seen, the level of taxation is one determinant of the position of the aggregate-demand curve. When the government raises taxes, aggregate demand falls, depressing production and employment in the short run. If the Fed wants to prevent this adverse effect of the fiscal policy, it can expand aggregate demand by increasing the money supply. A monetary expansion would reduce interest rates, stimulate investment spending, and expand aggregate demand. If monetary policy is set appropriately, the combined changes in monetary and fiscal policy could leave the aggregate demand for goods and services unaffected.

This analysis is exactly the sort followed by members of the Federal Open Market Committee. They know that monetary policy is an important determinant of aggregate demand. They also know that there are other important determinants as well, including fiscal policy set by the president and Congress. As a result, the FOMC watches the debates over fiscal policy with a keen eye.

This response of monetary policy to the change in fiscal policy is an example of a more general phenomenon: the use of policy instruments to stabilize aggregate demand and, in turn, production and employment. Economic stabilization has been an explicit goal of U.S. policy since the Employment Act of 1946. This act states that "it is the continuing policy and responsibility of the federal government to … promote full employment and production." In essence, the government has chosen to hold itself accountable for short-run macroeconomic performance.

The Employment Act has two implications. The first, more modest, implication is that the government should avoid being a cause of economic fluctuations. Thus, most economists advise against large and sudden changes in monetary and fiscal policy, for such changes are likely to cause fluctuations in aggregate demand. Moreover, when large changes do occur, it is important that monetary and fiscal policymakers be aware of and respond to each others' actions.

The second, more ambitious, implication of the Employment Act is that the government should respond to changes in the private economy to stabilize aggregate demand. The act was passed not long after the publication of Keynes's *The General Theory of Employment, Interest, and Money*, which has been one of the most influential books ever written about economics. In it, Keynes emphasized the key role of aggregate demand in explaining short-run economic fluctuations. Keynes claimed that the government should actively stimulate aggregate demand when aggregate demand appears insufficient to maintain production at its full-employment level.

Keynes (and his many followers) argued that aggregate demand fluctuates because of largely irrational waves of pessimism and optimism. He used the term “animal spirits” to refer to these arbitrary changes in attitude. When pessimism reigns, households reduce consumption spending and firms reduce investment spending. The result is reduced aggregate demand, lower production, and higher unemployment. Conversely, when optimism reigns, households and firms increase spending. The result is higher aggregate demand, higher production, and inflationary pressure. Notice that these changes in attitude are, to some extent, self-fulfilling.

In principle, the government can adjust its monetary and fiscal policy in response to these waves of optimism and pessimism and, thereby, stabilize the economy. For example, when people are excessively pessimistic, the Fed can expand the money supply to lower interest rates and expand aggregate demand. When they are excessively optimistic, it can contract the money supply to raise interest rates and dampen aggregate demand. Former Fed Chairman William McChesney Martin described this view of monetary policy very simply: “The Federal Reserve’s job is to take away the punch bowl just as the party gets going.”

Case Study:Keynesians in the White House

When a reporter in 1961 asked President John F. Kennedy why he advocated a tax cut, Kennedy replied, “To stimulate the economy. Don’t you remember your Economics 101?” Kennedy’s policy was, in fact, based on the analysis of fiscal policy we have developed in this chapter. His goal was to enact a tax cut, which would raise consumer spending, expand aggregate demand, and increase the economy’s production and employment.

In choosing this policy, Kennedy was relying on his team of economic advisers. This team included such prominent economists as James Tobin and Robert Solow, both of whom would later win Nobel Prizes for their contributions to the field. As students in the 1940s, these economists had closely studied John Maynard Keynes’s *General Theory*, which was then only a few years old. When the Kennedy advisers proposed tax cuts, they were putting Keynes’s ideas into action.

Although tax changes have a potent influence on aggregate demand, they can also alter the aggregate supply of goods and services, as discussed earlier in an FYI box. Part of the Kennedy proposal was an investment tax credit that gave a tax break to firms that invested in new capital. Higher investment would not only stimulate aggregate demand immediately but also increase the economy’s productive capacity over time. Thus, the short-run goal of increasing production through higher aggregate demand was coupled with a long-run goal of increasing production through higher aggregate supply. And indeed, when the tax cut Kennedy proposed was finally enacted in 1964, it helped usher in a period of robust economic growth.

Since the 1964 tax cut, policymakers have from time to time used fiscal policy as a tool for controlling aggregate demand. For example, when President Barack Obama moved into the Oval Office in 2009, he faced an economy in the midst of a recession. One of his first policy initiatives was a stimulus bill, called the American Recovery and Reinvestment Act (ARRA), which included substantial increases in government spending. The accompanying In the News box discusses some of the debate over this policy initiative.

Ask the Experts

Economic Stimulus

"Because of the American Recovery and Reinvestment Act of 2009, the U.S. unemployment rate was lower at the end of 2010 than it would have been without the stimulus bill."

"Taking into account all of the ARRA's economic consequences—including the economic costs of raising taxes to pay for the spending, its effects on future spending, and any other likely future effects—the benefits of the stimulus will end up exceeding its costs."

Source: IGM Economic Experts Panel, July 29, 2014.